



Tax fraud offence in Algerian law

*nawel laalia **

*Abbes Laghrour university khenchela (Algeria),
laalia.nawel@univ-khenchela.dz*

yazid tagraret

*Larbi Ben M'hidi Oum el bouaghi
tagraret.yazid@univ-oeb.dz*

Abstract

Tax fraud, also known as illegal tax evasion, is one of these crimes committed against investment. It is considered a financial crime in which the perpetrator resorts to fraudulent methods, whether direct or indirect, to evade the tax base that he is obligated to submit. Considering that taxes are one of the most important financial sources for the public treasury, evading them, whether partially or completely, by the obligated party leads to hindering economic stability. Therefore, combating the crime and phenomenon of tax fraud has become one of the main challenges facing the tax administration. Accordingly, the Algerian legislature has established criminal and fiscal penalties under tax laws. This article contains a substantive and procedural study. The first section covers the substantive provisions of the crime, including the concept and elements of the crime. The second section covers the procedural aspect of prosecuting the crime of tax evasion.

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* Corresponding author

1. *Introduction*

Economic crimes are considered among the most serious types of crimes that can be committed by a person, whether as a natural or legal person, as they cause damage to the state's economy and threaten its financial stability, making it vulnerable to crises that undermine its development and financial recovery. Among these economic crimes that affect our investment process is tax fraud.

Taxes, defined as financial deductions made by the state through the compulsory collection of funds from taxable persons, are one of the most important sources of revenue for the state treasury. Therefore, Algerian lawmakers, like their counterparts in other countries, have sought to protect it through legislation. Algeria, which is striving to strengthen its economy and diversify its sources of income, attaches the utmost importance to combating tax fraud. The losses resulting from this crime are considered a drain on the country's resources, which are urgently needed to achieve sustainable development goals and improve the standard of living of citizens. Algerian lawmakers have paid increasing attention to tackling this phenomenon by enacting legislation that criminalises acts of tax fraud and sets appropriate penalties for perpetrators. Nevertheless, this crime remains a major challenge that requires in-depth and comprehensive study.

Algerian law has devoted specific and detailed legal provisions to the crime of tax fraud, which are contained in various legal texts, underscoring the particular importance that legislators attach to this type of crime. Although tax fraud is classified as a crime affecting public funds, the legal system governing it is characterised by a set of features and procedures that differ from those relating to other economic crimes, reflecting

the specific nature of this crime and its profound impact on the national economy. Accordingly, a set of tax laws have been dedicated to protecting it, such as the Law on Direct Taxes and Similar Fees, the Law on Indirect Taxes, the Business Number Fees Act, the Stamp Act, the Registration Act and the Tax Procedures Act.

What catches our attention is that, prior to the enactment of Law 11-16 dated 20 December 2011, which included the 2012 Finance Act, Algerian lawmakers punished tax fraud with criminal penalties when the amount evaded exceeded 1,000,000 dinars. However, Article 303 of the Direct Taxation Law was amended, and it became punishable by a misdemeanour penalty. It should also be noted that tax laws are constantly being amended and supplemented in line with the Finance Act, the latest amendment and supplement being Law 24-08 dated 24 November 2024, Official journal No. 84 dated 26 December 2024, containing the Finance Act for 2025.

The issue of tax fraud is of paramount importance, as it represents a flagrant violation of the economic and social rights of individuals and society as a whole. Tax fraud not only threatens the state's public revenues, but also undermines the principles of justice and equality before the law and negatively affects the state's ability to finance basic services that directly affect the lives of citizens. This leads us to ask the following question: How has the Algerian legislator organised the substantive and procedural provisions for the offence of tax fraud in its tax legal system? To answer this question, we used a descriptive and analytical approach and adopted the following division: First axis: Substantive provisions for the offence of tax fraud. Second axis: Procedural provisions for the offence of tax fraud.

II –Substantive provisions for tax fraud offences:

The public resources of the state concern society as a whole and every individual in it, because they are collected in the form of taxes and fees with the intention of spending them on public expenditure and the provision of public services. Tax fraud damages or jeopardises the economic entity of the state and hinders the progress and development of society in all areas. There is no room for differentiation between the interests of the individual and those of society. There is no doubt that what affects the public interest includes a general impact on the interests of every individual (Yakout, 2002/2003., p. 09). Through this axis, we will address the concept of tax fraud (first), the elements of tax fraud (second), and finally the penalties for tax fraud (third).

I.1. The concept of tax fraud:

Taxation is considered an important tool in economic and social policy, as it represents a significant source of revenue for the state treasury. It also plays a fundamental role in reducing social disparities between different segments of society, maintaining economic stability, and addressing inflation, deflation, and the preferential treatment of certain activities over others. However, these objectives are hampered by the emergence of tax fraud, which has become one of the main challenges for tax administration (Samaine, 2019., p. 575). So what do we mean by tax fraud, and how does it differ from another term, namely tax evasion?

1: Definition of tax fraud:

Contemporary legislation, particularly Algerian legislation, does not provide a definition of tax fraud, but merely lists its forms and types, leaving the definition to jurists and commentators. This is because no

definition can cover all methods and techniques of fraud. Despite its importance and seriousness, most jurisprudential writings have neglected this topic. Although we find some definitions of it, they do not reflect the seriousness of the crime.

Scholars are divided into two camps regarding the definition of tax fraud. The first camp views tax fraud as an economic phenomenon that manifests itself in the violation of the rules of law and the exploitation of one of its loopholes through material and accounting fraud. In contrast, the second group views tax fraud as a crime based on the use of fraudulent methods to evade paying taxes (Abdelnour, 2016/2017, p. 39), and some have defined it as: 'Tax fraud is an illegal act whereby a portion of taxes is concealed or a portion of expenses is inflated.' Illegal documents may be used to inflate costs in order to reduce profits and thus reduce the taxes due (Khalid:, 2005., p. 25).

But behind all this, what do we mean by tax? In the absence of a legislative definition of tax, jurisprudence has undertaken to define it, and we will briefly refer to the most important of these jurisprudential definitions, some of which define it as: 'an amount of money that the state collects compulsorily without compensation to cover public expenditure,' and it has also been defined as: the general financial resource that the state deducts from individuals by force for the purpose of using it to achieve public objectives" (Ahjila, 2018., pp. 366-367). Dr. Ahsan Busqia defined tax as 'a financial deduction made by the state by force from the wealth of other persons, whether natural or legal, for the purpose of achieving a public benefit' (Bousqia, 2019., p. 411).

2: Types of tax fraud

Tax evasion varies depending on the methods used by each taxpayer to avoid paying the taxes owed. Taxpayers may conceal their work

from the state, refrain from submitting the required declaration, or submit a false declaration supported by forged documents about their actual profits. concealing some of their activities, increasing the value of tax-deductible income costs, or using certain laws to help them hide their actual profits (Mustafa, 2013, p. 39).

The Algerian legislator has defined tax fraud in Article 193, paragraph 02, of the Law on Direct Taxes and Similar Fees, amended by Article 08 of the 2012 Finance Law, which states: Deceptive practices refer, in particular, to: a) Concealing or attempting to conceal amounts or products subject to value added tax by any person liable for it, in particular sales without an invoice.

b) The submission of forged or incorrect documents to support a request for a reduction, deduction, exemption or refund of value added tax, or to benefit from tax privileges for certain categories of debtors.

c) Deliberately omitting to record or make an entry in the accounts, or making an incorrect or fictitious entry in the accounts in the journal and inventory book provided for in Articles 9 and 10 of the Commercial Code or in the documents replacing them. This provision shall apply only to offences relating to activities for which accounts have been closed.

d) The taxpayer arranging for the impossibility of payment or otherwise obstructing the collection of any tax or duty owed.

e) Any act, deed or behaviour clearly intended to avoid or delay the payment of all or part of the amount of taxes and duties as indicated in the declarations filed.

f) The practice of an illegal activity, which is also considered to be any activity that is not registered and/or does not have legal accounting records, whether practised as a primary or secondary activity. (Article 139 of

the Law on Direct Taxes and Similar Fees, amended by the 2012 Finance Law).

3: Distinguishing tax fraud from tax evasion

Brielle Andre believes that 'tax evasion is an action aimed at avoiding paying tax in whole or in part without breaking the law.' The ambiguity in the concept of tax fraud lies in the confusion between tax evasion and tax fraud, so it is important to distinguish between the two. Fraud only occurs when the taxpayer resorts to illegal means that result in the loss of the state's right to tax, such as submitting a false declaration of income or refusing to pay tax altogether (Abdelnour, 2016/2017, p. 50).

Legal evasion occurs when a taxpayer exploits certain legal loopholes in order to avoid paying the tax imposed on them without breaking the law. On the other hand, this type of evasion can occur by avoiding the taxable event. In both cases, legitimate evasion is achieved by refraining from the taxable act or refraining from the taxable event, such as the total or partial cessation of the taxpayer's consumption of the goods or services subject to consumption tax (Nadia, 2016., p. 10). Referring to the opinions of jurists, the difference between the two is clear. From a legal point of view, some jurists believe that there is a difference between evasion and tax fraud, as any explicit violation of tax law and non-compliance with it is considered tax fraud and deception. while tax evasion is committed by taxpayers exploiting legal loopholes so that they are not held responsible, as the responsibility for the existence of these legal loopholes lies with the legislator. As for economic jurists, they do not distinguish between tax fraud and tax evasion because both have a negative impact on tax revenue and, consequently, on the state treasury (Rahal, 2007., p. 24).

The similarities can be summarised in the following points:

- 1) They are practised by taxpayers, whether natural or legal persons.
- 2) They have a common goal, which is to avoid paying tax, either in whole or in part.
- 3) They have negative effects on the public treasury and deprive it of significant amounts of tax revenue.
- 4) Both lead to a reduction in the tax burden.
- 5) Both result from bad faith.

I. 2. Elements of tax fraud:

According to general rules, a crime is only established when its three fundamental elements are present: legal, material and moral.

Tax fraud is a specific economic crime distinguished from other crimes because it represents an attack on the public treasury and leads to the destabilisation of the social and economic stability of the state. This has prompted legislators to criminalise it in tax laws in an unstable and repetitive manner, making it difficult to identify its legal element (Abdelnour, 2016/2017, p. 116). The instability is due to its amendment under finance laws and supplementary finance laws, often annually and sometimes twice a year. However, this has not prevented it from being, like other crimes under general law, constituted by a set of elements that, when combined, make it a punishable crime, as we shall see.

1: Legal element

Also known as the legal element of a crime, this is a legal classification that attaches illegality to a behaviour, with reference to the penal provisions of the Penal Code and its supplementary laws, which alone confer such a status in application of the principle of

legality of crimes and penalties (Rachid, 2016., p. 61). This principle is enshrined in Article 01 of the Penal Code, which states: 'There shall be no crime, punishment or measures except by legal provision' (article 01 penal code).

The phenomenon of tax fraud derives its legal basis from various provisions of tax law, in particular:

-Articles 303 to 308 and 407 to 408 of the Law on Direct Taxes and Similar Fees.

-Articles 116 to 128 of the Law on Business Number Fees.

-Articles 532 to 539 and 542 to 544 of the Law on Indirect Taxes.

-Articles 119 to 121 of the Registration Law.

-Articles 35-37 and 38 of the Tax Procedures Law (Samaine, 2019., p. 577).

Tax fraud, in turn, takes two forms: tax fraud as a criminal offence and tax fraud as a purely administrative offence punishable by penalties imposed by the administration rather than by a judge.

Tax fraud may be subject to both criminal and tax penalties, or it may be subject only to tax penalties, as if there were no criminal offence or if the administration decided not to pursue criminal charges due to the simplicity of the act. Tax fraud may be subject only to criminal penalties (Bousqia, 2019., p. 412), which is our subject, criminally punishable tax fraud. What is its material element?

2: The material element of tax fraud

Tax fraud requires the use of fraudulent means to evade or attempt to evade taxes in the declaration of any tax or duty payable, or its complete or partial liquidation. However, the legislator did not bother to define these methods, but only listed some of them by way of example, leaving ample room for the

administration and the judiciary to uncover them (Abdelnour, 2016/2017, p. 122), with a causal relationship between these fraudulent methods and evasion, as we shall see:

2-1/ Elements of the material element: The elements of the material element consist of the criminal behaviour or behaviours of the perpetrator or perpetrators, the result of this behaviour, and the causal relationship between them, i.e. the causal link between the behaviour and the result, such that the latter is the fruit of the criminal behaviour and cannot be attributed to anything else.

2-1-1/ Criminal conduct: This consists of the use of fraudulent methods, which can be classified into two categories:

- Direct fraudulent methods: through which the taxpayer seeks to pay less than the amount due, or to refrain from paying it directly (Daraji, 2021, p. 21). This involves the following methods:

- Intentional omission or understatement of income in tax returns. Failure to file a tax return is considered the most common form of this offence, which also takes the form of late filing of tax returns, allowing the taxpayer to retain the money for a longer period.

- Concealing or attempting to conceal amounts or products subject to taxes or duties.

- The taxpayer arranging for his own insolvency or engaging in other manoeuvres to obstruct the collection of any type of tax or duty he owes (Bousqia, 2019., p. 414).

- Indirect fraudulent methods: These include deliberately failing to record or ordering the recording of incorrect accounts in the daily register, inventory register or documents and records required by the tax authorities, which the legislator considers a criminal offence.

It may also involve the submission of forged or incorrect documents in order to reduce or even

exempt oneself from taxes or fees, and sometimes in an attempt to recover them, which inevitably leads to the destruction of trust, credibility and honesty in the declaration required by law (Daraji, 2021, p. 21). It should be noted that these fraudulent methods are provided for in Article 533 of the Indirect Tax Law, Article 118 of the Similar Fees Law, Article 34 of the Stamp Law, and Article 119/1 of the Registration Law.

2-1-2/ Criminal outcome: This is represented by tax evasion, where the tax offence requires that the use of the aforementioned fraudulent methods leads to one of the following outcomes:

- Either evading all or part of the tax base by evading the determination of the tax base or linking it, which is achieved when the taxpayer conceals all or part of the taxable material or when he submits an incorrect declaration.

- Either evading all or part of the tax or liquidating the tax, whereby liquidating the tax means preparing tables and notices and sending them to the competent authority for tax collection.

- Either evading the payment of all or part of the tax, which means exempting the taxpayer from the obligation to pay it and reducing the burden of the obligation. Tax laws do not require that fraudulent methods actually lead to a specific result, which is evading the payment of tax; rather, the attempt is sufficient for the crime to be committed (Sebti, 2008., p. 76), as the legislator has explicitly stipulated punishment for attempting tax fraud in Article 532 of the Indirect Tax Law, Article 34 of the Stamp Law, and Article 303 of the Direct Tax and Similar Fees Law (Nadia, 2016., p. 70).

2-1-3/ The causal relationship between tax evasion and fraudulent methods: For the crime to be established, tax evasion must be based on fraudulent methods used by the perpetrator.

Therefore, the crime does not exist if the taxpayer evades tax as a result of an error made by the tax administration in assessing the tax or in determining an exemption. Conversely, a causal relationship exists if the tax administration makes an erroneous assessment without reviewing the forged documents in which the perpetrator concealed some of the amounts subject to tax (Bousqia, 2019., p. 417).

2-2: Attempted crime and criminal contribution: Attempted crime and criminal contribution to tax fraud are subject to the general provisions stipulated in the Penal Code, where we will briefly present attempted crime and criminal contribution.

A crime is considered to be the result of a sequence of stages, beginning with conception, then preparation, and finally execution. There is no doubt that a crime does not have to be consummated, i.e., it does not have to reach its conclusion in order for us to punish it (Bouzouk, , 2018., pp. 109-110). However, the question arises as to what the punishment should be for a perpetrator who begins to carry out a crime but does not achieve the desired result, noting that the failure to achieve the result is due to circumstances beyond his control. Is he punishable under the law? What has the legislator decided in this regard?

This legal situation is known as 'attempt' or 'attempted crime' as defined by the Algerian legislator. It is generally a specific type of crime whose result is delayed, or behavior that does not lead to the end that the perpetrator sought to achieve, when the failure to achieve that result is due to an involuntary cause, The perpetrator committed all the acts constituting the criminal act, but the desired result did not occur due to a reason beyond his control and external to him (Wadaï, 2013, p. 68). The Algerian legislature addressed this in Articles 30 and 31 of the Penal Code.

Crimes are often committed by a single person who conceives the criminal plan alone, decides to carry it out, and performs the physical acts leading to the crime. In other cases, the crime is committed by a group of persons who cooperate in committing it, and their roles and the physical or moral activities they carry out in achieving the criminal result may be similar or may differ. The role of some may be limited to preparation and planning, while others carry out the physical acts. Some may incite the crime, while others carry out the incitement, or a person may use another person to commit a crime, and that other person is not legally responsible for the crime. These cases, in which more than one person contributes to the commission of a single crime, are called contribution to the crime (Mourad, 2018., p. 591). What is important in the offence of tax fraud in determining the criminal contributor to its commission is the discussion of the partner, the provisions of which are set out in Articles 42 and 43 of the Penal Code, as confirmed by Article 303 of the Direct Tax and Similar Fees Law, which states: The same penalties shall apply to accomplices to offenders as to the offenders themselves, subject to the provisions of Article 306 below.

The definition of accomplices to crimes and misdemeanors under Article 42-2 of the Penal Code applies to accomplices to the offences referred to in the previous paragraph and considers as accomplices, in particular, persons:

- who illegally intervene to trade in transferable securities or collect vouchers abroad.

- Those who have received vouchers belonging to others in their own name. (Article 304 of the Law on Direct Taxes and Similar Fees).

3: Moral element

It is not sufficient for the crime of tax fraud to have only a material element; it must also have

a moral element. Referring to tax legislation, we find that it requires the element of intent, so there is no crime if criminal intent, whether general or specific, is not proven (Daraji, 2021, p. 23).

3-1/ General intent: The perpetrator directs his will towards committing the crime, knowing its legal elements. This is required in all intentional crimes, such that the perpetrator is presumed to be aware of committing fraudulent and deceptive acts or fraud that lead to the evasion and avoidance of all or part of the tax base or imposed fees. If the taxpayer conceals some of the amounts subject to tax as a result of a material error or ignorance of accounting rules, the intent is not considered to be present, as criminal intent requires that the perpetrator's will be directed towards fraud and misleading the tax authorities (Sebti, 2008., p. 77).

3-2/ Specific intent: Tax fraud requires specific intent, which is that the perpetrator intends to evade all or part of the tax, in other words, to deprive the administration of its right to this tax (Bousqia, 2019., p. 418).

The burden of proof regarding the existence of criminal intent lies with the prosecution, represented by the Public Prosecutor's Office and the tax administration, and the judge has discretionary power in assessing this issue as a matter of fact, taking into account the contents of the criminal case file, including notices, warnings, and reports of incorrect or falsified accounting presented by the tax administration in support of its complaint. If the criminal case file contains such evidence, it is considered proof of the moral element of the crime (Daraji, 2021, p. 24).

I. 3. Penalties for tax fraud offences:

1: Criminal penalties:

1-1/ Applicable to natural persons: There are original penalties and supplementary penalties

-Original penalties: Article 303, paragraph 01 of the Direct Taxes and Fees Law states the following:

Anyone who evades or attempts to evade tax or fees by resorting to fraudulent acts in their tax return shall be punished by:

A fine of between 50,000 and 100,000 dinars when the amount of the evaded tax does not exceed 100,000 dinars.

Imprisonment for two to six months and a fine of 100,000 to 500,000 dinars, or one of these two penalties, when the amount of the evaded duties exceeds 100,000 dinars but does not exceed 1,000,000 dinars.

Imprisonment for six months to two years and a fine of 500,000 dinars to 2,000,000 dinars, or one of these two penalties, when the amount of rights evaded exceeds 1,000,000 dinars and does not exceed 5,000,000 dinars.

Imprisonment for two to five years and a fine of 2,000,000 to 5,000,000 dinars, or one of these two penalties, when the amount of rights evaded exceeds 5,000,000 dinars and does not exceed 10,000,000 dinars.

Imprisonment for five to ten years and a fine of 5,000,000 to 10,000,000 dinars, or one of these two penalties, when the amount of evaded duties exceeds 10,000,000 dinars. (Article 304 of the Law on Direct Taxes and Similar Fees).

Indirect Tax Law: Article 532 provides for the punishment of tax fraud, stating that it shall be punishable by imprisonment for a term of one to five years and a fine of between 50,000 and 200,000 dinars, or one of these two penalties.

However, in the case of concealment, the application of the aforementioned penalties is conditional on the concealment exceeding ten (10/1) times the taxable amount or the amount of 10,000 DZD (Article 532 of the Indirect Taxation Law).

As for the Registration Law, Article 119/1 stipulates the following penalties:

- In addition to tax penalties, anyone who evades or attempts to evade, in whole or in part, the tax base, liquidation or payment of taxes or fees to which they are subject by using fraudulent means shall be punished shall be punished by a fine ranging from 5,000 to 20,000 dinars and imprisonment for one to five years, or one of these two penalties only.
- However, this measure shall not apply in the case of concealment unless such concealment exceeds ten times the amount subject to tax or an amount equal to or exceeding 1,000 dinars.
- For the purposes of applying the two preceding paragraphs, the following shall be considered, in particular, as fraudulent manoeuvres: the taxpayer's organisation of his insolvency or other manoeuvres to obstruct the collection of any type of tax or duty owed by him. (Article 119, paragraph 01 of the Registration Law.)-Additional penalties: These consist mainly of the publication and posting of the judgment. All tax legislation agrees that the court may publish the judgment in full or in extract form in newspapers of its choosing and post it in places it specifies, at the expense of the convicted person (Article 303 of the Code of Criminal Procedure, Article 550 of the Code of Criminal Procedure and Article 120/6 of the Tax Code)

This penalty is mandatory in the case of recidivism (Article 303 of the Code of Criminal Procedure, Article 546 of the Code of Criminal Procedure and Article 120/2 of the Tax Code) (Bousqia, 2019., p. 429).

1-2: Applicable to legal persons:

Tax legislation stipulates that legal persons shall be subject to the same penalties as natural persons who commit offences, in addition to tax penalties.

This is inconsistent with the provisions of Article 18 bis of the Penal Code, which stipulates that a legal person shall be liable to a fine equal to 1 to 5 times the minimum fine imposed on a natural person (Bousqia, 2019., p. 413).

2: Tax penalties:

Tax laws generally distinguish between criminal fines and tax fines. The former are criminal penalties derived from the Penal Code, while the latter are tax penalties based on tax laws. Tax penalties vary in content and amount from one text to another, although they all agree on the imposition of such fines (Sebti, 2008., p. 326).

For example:

-Article 523 of the Indirect Tax Law punishes any violation of the legal and regulatory provisions relating to indirect taxes with a tax penalty of between 5,000 and 25,000 dinars (Article 303 of the Code of Criminal Procedure, Article 550 of the Code of Criminal Procedure and Article 120/6 of the Tax Code).

-Article 304 of the Direct Tax Code punishes any person who acts in such a way as to prevent qualified officials from inspecting tax violations from carrying out their duties with a tax penalty of between 10,000 and 30,000 dinars, and up to 50,000 dinars if it is proven that the premises are closed for reasons intended to prevent the tax authorities from carrying out the inspection (Article 304 of the Direct Taxation and Similar Fees Act).

In addition, the Indirect Taxation Act also provides for the confiscation of objects and means of fraud (Article 525).

Although judges have the power to reduce tax penalties, the law prohibits them from doing so (Article 303/4 of the Code of Taxation, Article 548 of the Code of General Taxation, and

Article 120/4 of the Code of Taxation) (Bousqia, 2019., p. 430).

III-Procedural provisions for tax fraud offences:

We have previously noted that tax fraud is an economic crime that differs from other crimes, the investigation and prosecution of which falls within the jurisdiction of the judicial police officers referred to in the Algerian Code of Criminal Procedure, using the available and customary means. However, tax fraud, as an economic crime, is treated differently by the legislator, with distinctive procedures. Investigation and examination in such cases do not involve inspection, surveillance or interrogation, etc., but rather tax supervision and accounting investigation (Abdelnour, 2016/2017, p. 275).

This is what we will see in the first section. In addition to addressing the proof of tax fraud, we must discuss the specificity of initiating public and tax proceedings for tax fraud in the second section.

III. 1. Proving tax fraud:

Tax fraud differs from other crimes in the nature of the means used to commit it, as fraud can only be committed through fraudulent means that require certain mathematical and technical skills. This has prompted tax legislators to identify certain specific categories to be investigated and proven. Although the proving and investigation of crimes is generally subject to judicial police officers, the legislator has followed most comparative legislation in granting the authority to investigate and investigate to a special category that has no parallel in other laws.

1: Persons qualified to prove tax fraud

Under Algerian law, the persons specified in the various tax laws are competent to prove tax

fraud. The Indirect Tax Law specifies that sworn tax officials and authorised agents are competent to prove tax fraud, as confirmed by Article 504 thereof (Nadia, 2016., p. 87), which states: All tax administration officials who are legally authorised and sworn in are specifically responsible for proving violations of the laws and regulations relating to indirect taxes." (Article 532 of the Indirect Tax Law).

As for the Law on Business Number Fees, Article 112 stipulates that violations of the provisions relating to value added tax may be proven by all means of evidence under public law, or by reports prepared by judicial police officers or officials of the various tax administrations, direct taxes, registration and customs authorities, or the suppression of fraud and economic offences. Violations are prosecuted and judged in accordance with the rules specific to each of the administrations responsible for collecting this tax (Article 112 of the Business Tax Law). This article highlights the diversity of persons qualified to prove tax fraud under the Business Tax Law, which includes, in addition to tax administration officials, customs authorities and the suppression of fraud and economic violations, judicial police officers, unlike the direct tax law, which does not contain any legal provision referring to the competence of judicial police officers to prove it. (Nadia, 2016., pp. 88-89).

The question arises as to whether judicial police officers have the right to prove tax fraud in the same way as in the law on business registration, or whether proof remains limited to tax officials, as is the case in the law on indirect and stamp duties. and therefore judicial police officers are not allowed to prove this type of offence.

The answer is that proof is permissible if we start from the principle that the judicial police have general jurisdiction to prove crimes, so that it is within their power to investigate and

gather evidence in all crimes unless expressly excluded by law.

The answer is that it is not permissible if we consider the specific nature of this type of crime, which primarily concerns the tax base, which is the exclusive jurisdiction of the tax administration. It is therefore natural that it should have exclusive jurisdiction to prove crimes related to it, as long as it is the body qualified to detect them. However, the prevailing opinion is that as long as there is no explicit provision excluding judicial police officers from proving these crimes, they have the right to prove them, provided that they refer the evidence to the competent tax administration and no other authority in order to initiate public proceedings (Bousqia, 2019., p. 417).

Thus, Professor Bosquia believes that crimes targeting direct taxes affect the tax base, and therefore the tax administration is the most competent to prove them, as it is responsible for collecting taxes, determining the tax base, and possessing all documents and information relating to the taxpayer. However, in the absence of an explicit legal provision exempting judicial police officers from proving them, cases of tax fraud can be proven by judicial police officers and the evidence reports can then be referred to the tax administration to initiate public proceedings (Nadia, 2016., pp. 88-89).

2: Means of investigation and inquiry in tax fraud crimes

Those who study tax laws will note that they do not take a unified position on many issues, which has resulted in significant differences in the definition of the crime and the methods of investigating and proving it. Nevertheless, the legislator has granted the tax administration broad powers in the area of proving and investigating tax fraud (Abdelnour W. , September 2020., p. 1300). In order to

determine the tax base and exercise control, the tax administration has various means of investigation and research at its disposal, which it uses regardless of the form of tax control applied. These means include requesting information, clarifications and justifications from the taxpayer. The tax administration also has the right to inspect documents held by institutions (Yakout, 2002/2003., p. 60).

2-1: Verification through control:

The search for fraud, deception, and the use of manoeuvres to evade tax is carried out through the control of declarations submitted by taxpayers, which may be subject to the type of tax system to which the taxpayer is subject and the duties imposed on him and which he must comply with (Sebti, 2008., p. 114). The tax system in Algeria is essentially a declaratory system based on returns submitted periodically by taxpayers to the tax authorities, which in turn have the right to investigate whether the returns correspond to the taxpayer's actual situation. (Abdelnour W. , September 2020., p. 1301). Since the tax administration is one of these competent authorities, its oversight is the means by which it can verify that taxpayers are complying with their tax obligations and correcting errors. Therefore, oversight consists of all the operations carried out by the tax administration to verify the accuracy of the declarations submitted by taxpayers in order to detect fraud or attempted fraud, whether within the institution or through the transfer of various accounting documents and records. Since tax control is the first step in detecting tax fraud, the legislator sought to regulate this authority in the first chapter of the second part of the Algerian Tax Procedures Code, in order to protect those who exercise it and ensure that they do not abuse their power. (Abdelnour W. , 2016/2017, pp. 280-281). Article 18, paragraph 01, of the Tax Procedures Code states: "The tax administration shall monitor

the declarations and documents used to impose any tax, duty, fee or royalty. It may also exercise its right of control over institutions and bodies that are not traders and that pay wages, fees or salaries of any kind. The institutions and bodies concerned shall submit to the tax administration, at its request, the accounting books and documents at their disposal." (Article 104, paragraph 01 of the Tax Procedures Code), followed by Articles 19 to 75 of the same code, which define the framework for supervision.

2-2: Verification through accounting investigation

Accounting investigation consists of all operations that allow for the verification of the accuracy and credibility of accounting information that forms the basis of tax returns (Salhi, 2011, p. 40). Article 20(1) of the Tax Procedures Code states that 'tax officials may conduct an accounting investigation of taxpayers and carry out all necessary inquiries to establish and monitor the tax base.' An accounting investigation is a set of operations aimed at monitoring tax returns relating to closed financial years. The investigation of accounting books and documents must be carried out on site, except in the case of a contrary request made in writing by the taxpayer and accepted by the tax authority, or in the case of force majeure legally recognised by the tax authority." (Article 20, paragraph 06 of the Tax Procedures Code, amended by Article 90 of the 2025 Finance Act).

It follows from the above that the investigation of the accounts is subject to a set of conditions, as it is carried out at the taxpayer's premises. However, in cases of force majeure or upon written request from the taxpayer to the tax administration, the investigator may take the accounting documents to examine them in his office in exchange for a receipt to the taxpayer certifying the type and nature of the documents received.

The accounting investigation focuses on various accounting documents and records, whereby the investigator begins to examine all accounts, assets, liabilities in the balance sheet, and the income and expenditure account table. All mandatory accounting books and accounting documents stipulated by commercial law (inventory book, journal, secondary books such as the bank's purchase and sales ledger, and cash book). Bookkeeping is considered the basis for proving income and expenses.

The accounting investigation results in either the re-establishment of the tax base if the taxpayer expressly accepts the results of the accounting investigation, or, if the taxpayer rejects the results of the accounting investigation, an automatic reassessment is carried out after the taxpayer has been notified by means of a notice indicating that he may consult an advisor of his choice. The taxpayer usually chooses an accounting expert to discuss any proposal by the tax authorities to increase the tax base. (Nadia, 2016., pp. 95-96).

The reassessment notice must indicate, under penalty of nullity of the procedure, that the taxpayer has the right to seek the assistance of an advisor of his choice in order to discuss proposals to increase the amount of tax or to respond. The notice of reassessment shall be sent to the taxpayer by registered letter with acknowledgement of receipt or delivered to him with acknowledgement of receipt. The notice of reassessment must be sufficiently detailed and reasoned, and the provisions of the articles on which the reassessment is based must be reiterated in such a way as to allow the taxpayer to reconstruct the basis of the tax assessment and submit comments or declare his acceptance. The taxpayer has forty (40) days to send his comments or acceptance. Failure to respond within this period shall be deemed to constitute tacit acceptance. (Article

20(6) of the Tax Procedures Code, as amended by Article 90 of the 2025 Finance Act)

2-3: Proof through in-depth investigation

The investigation procedure is relatively new in Algerian tax legislation, having been introduced by the 1992 Finance Act with the aim of improving the performance of the tax administration and to combat tax fraud. The primary aim of this procedure is to identify the true sources of income of taxpayers that are not reflected in their tax returns and their actual financial situation, such as individuals who declare a modest income while appearing to be wealthy. This highlights the role of the tax administration in uncovering the taxpayer's real income (Abdelnour W. , September 2020., p. 1304). The legislator has defined this procedure in Article 21/2 of the Tax Procedures Code, amended by Article 44 of the 2024 Finance Act, as follows: Tax administration officials may initiate an in-depth investigation into the overall tax situation of natural persons who are tax residents in Algeria with regard to income tax and wealth tax, whether or not they have obligations in respect of these two taxes.

Persons who are tax residents in Algeria may also be subject to this investigation when they have obligations in respect of these two taxes. In the course of this investigation, the investigating officials shall verify the consistency between:

- on the one hand, the declared income, assets, financial situation and components of the tax household's living conditions;
- On the other hand, the elements that make up their wealth. An in-depth investigation into the overall tax situation may be carried out when the property status and lifestyle of a person who is not registered for tax purposes reveals the existence of activities or income that are not subject to tax (Article 104, paragraph 01 of

the Tax Procedures Code). It should be noted that this article refers specifically to natural persons and not legal entities, even though the in-depth investigation examines the taxpayer's financial situation in comparison with their declarations.

2-4: Proof by means of a targeted accounting investigation:

This was introduced by the Algerian legislature under the 2010 Finance Act, as stipulated in Article 20(1) of the Tax Procedures Act: "Tax administration officials may conduct a corrected investigation into the accounts of taxpayers for one or more types of taxes, for a full or partial period that is not time-barred, or for a set of accounting operations or data for a period of less than one tax year.

An investigation shall also be conducted when the tax administration questions the authenticity of documents or agreements concluded by taxpayers that conceal the true content of the contract through clauses aimed at avoiding or reducing tax burdens.

During this investigation, taxpayers under investigation may be asked to provide accounting documents and supporting documents such as invoices, contracts, and order or delivery notes relating to the rights, taxes, duties and fees covered by the investigation. Under no circumstances may this investigation result in an in-depth and critical examination of the taxpayer's entire accounting records. (Article 104, paragraph 01, of the Tax Procedures Code).

2-5: Proof by means of general law rules:

The minutes drawn up by the tax administration are submitted to the competent judicial authorities and contain evidence that the taxpayer has committed tax fraud. However, the latter are not satisfied with this

alone, but are authorised by law to resort to the means of proof provided for in the Code of Criminal Procedure. Tax laws do not limit the proof of tax fraud to the means stipulated in the tax law, but allow for inspections and tax seizures by all means. This means that a judicial police officer can investigate tax offences in accordance with the rules of the Code of Criminal Procedure, as there is no provision prohibiting the use of the means of evidence provided for in general law to prove tax fraud. (Nadia, 2016., p. 103).

This was confirmed by the new Algerian Code of Criminal Procedure, Law 25/14 of 3 August 2025, Official Gazette 54 of 13 August 2025, where Article 51 authorised the public prosecutor, automatically or at the reasoned request of a judicial police officer, during the preliminary investigation, to request the president of the competent regional court to take precautionary measures to seize funds and/or or freeze any banking transactions of any natural or legal person strongly suspected of involvement in one of the offences referred to in Article 50. Referring to Article 50 of Law 25/14, we find that tax fraud is included in the list of offences specified exhaustively. (Article 51 of Law 25/14, Algerian Code of Criminal Procedure)

III. 1. Initiating public and criminal proceedings for tax fraud offences:

After proving that a tax fraud offence has been committed by persons legally qualified to do so, and affiliated with the tax administration pursuant to Article 504 of the Indirect Tax Law and Article 112 of the Business Number Tax Law, a complaint shall be filed with the Public Prosecution, as tax fraud is a crime that requires a complaint to be filed in order for the Public Prosecution to initiate proceedings, This is stipulated in Article 305 of the Direct Tax Law, Article 534 of the Indirect Tax Law, Article 119 of the Business Number Tax Law, Article 34 of the Stamp Duty Law, and Article

119 of the Registration Law, which refer us to the text of Article 104 of the Tax Procedures Law, the first paragraph of which states: Proceedings shall be brought with a view to applying the penalties provided for in the tax laws on the basis of a complaint from the director of the major institutions or the provincial director of taxation." (Article 104, paragraph 01, Tax Procedures Code). Tax offences therefore give rise to two types of proceedings:

1- A public lawsuit aimed at applying criminal penalties, namely imprisonment and fines.

2- A tax lawsuit aimed at applying tax penalties, namely tax fines and confiscation of seized assets.

What are the conditions for filing a complaint, and which judicial authority is competent to hear cases of tax fraud?

1: Conditions for complaints:

Complaints must be valid and submitted by the person designated by law to do so. They may also be submitted by a person authorised by law to act on behalf of that person. General authorisation is sufficient for this purpose. If the complaint is submitted by an unauthorised person, the procedure shall be invalid. Complaints must also be in writing (Oulabri, 2013-2014., p. 39). Complaints that must be initiated by the provincial tax director, with the exception of those relating to violations of indirect taxes and stamp duty, shall not be processed until the approval of the committee established for this purpose at the competent regional tax directorate to which the provincial tax directorate reports has been obtained. (Article 104, paragraph 02 of the Tax Procedures Code)

Professor Ahsan Busqia believes that the reason for requiring the filing of a complaint in tax crimes is that the relationship between the taxpayer and the tax administration must be

based on mutual understanding, as the law gives this administration the discretion to file a complaint based on the prevailing circumstances that indicate the taxpayer's intention to evade tax. This means that if a lawsuit is filed before the tax administration files a complaint, it's totally invalid (Oulabri, 2013-2014., p. 40). So, the tax administration has to file a complaint to start a public and mandatory lawsuit in cases of tax fraud, which is a public order offence.

2: The competent judicial authority for hearing tax fraud offences:

The Algerian legislature has made the judicial authority with local jurisdiction chosen by the tax administration responsible for hearing cases, provided that jurisdiction is assigned to the court within whose jurisdiction the fine was imposed, the place of seizure or the headquarters of the institution is located (Article 305/2 of the Code of Criminal Procedure, Article 534 of the Code of Criminal Procedure, Article 119/2 of the Code of Taxation and Article 34/2 of the Code of Taxation) The local jurisdiction of the court is determined in accordance with the law on direct taxation, at the discretion of the administration, in the place where the tax was imposed on the taxpayer, in order to enable the tax administration to collect the information necessary to justify tax fraud and evasion, as the term 'competent judicial authority' in the Registration and Stamping Law, and the legislator did not clearly and precisely define the judicial authority.

This definition is criticised for being broad and not specifying the competent authority precisely, especially since the place where the tax is imposed may be an inspectorate at the municipal, district or provincial level for provincial directorates, and the court within whose jurisdiction the seizure takes place has jurisdiction to execute the seizure, considering

that seizure is a means of investigating and controlling tax fraud. The court in which the institution is located is competent for the criminal prosecution of institutions, and in the case of multiple institutions, the court in whose jurisdiction the institution's headquarters is located is considered competent. (Nadia, 2016., p. 106).

3: Evidential value of tax officials' reports

The evidential value of inspection reports issued by tax officials is stipulated in Article 505, paragraph 02 of the Indirect Tax Law, which states: These reports may be drawn up by a single officer, in which case they shall be admissible as evidence before the courts unless proven otherwise, and when drawn up by two officers, they shall be admissible as evidence unless their authenticity is challenged." (Article 506 of the Indirect Tax Law).

Accordingly, we note that the above article distinguishes between two cases: the case in which a tax administration official draws up a report alone, in which case it is subject to proof to the contrary, and the case in which two or more officials draw up the report together, in which case the report is fully authentic and can only be challenged on the grounds of forgery. (Abdelnour W. , 2016/2017, p. 290).

IV- Conclusion :

Taxes are one of the most important sources of revenue for the state treasury, and partial or total evasion of tax liability constitutes tax fraud. The provisions governing tax evasion are set out in the Tax Code, which is divided into: the Direct Tax and Similar Fees Act, the Indirect Tax Act, the Business Turnover Tax Act, the Registration Act, and the Stamp Duty Act. The Tax Procedures Act.

Tax fraud is a crime that restricts the public prosecutor's office, which is unable to bring a public prosecution against tax evaders except

on the basis of a complaint filed by the tax administration through its provincial director and after approval by the competent regional tax committee.

Two types of proceedings arise from tax offences:

- Public proceedings aimed at applying criminal penalties, i.e. imprisonment and fines.
- Tax proceedings aimed at applying tax penalties, i.e. tax fines and, in some cases, confiscation.

In public proceedings for tax fraud, the inspection and accounting investigation reports submitted by persons legally qualified to issue them (sworn tax officers and commissioners, with the exception of judicial police officers) have absolute probative value before the courts.

Based on this, some proposals can be made, the most important of which are:

1. The abundance, complexity and constant change of tax laws, along with financial laws, provide an excuse for tax evaders who claim not to understand their provisions. It would therefore be appropriate to simplify them and make them clear and accessible to taxpayers.
2. Continuous and ongoing training of tax officials with each new issue or amendment to tax texts.
3. Giving priority to the reconciliation system in this type of crime, i.e. economic crimes, by enacting clear texts in all tax laws, not only at the level of the provisions of indirect tax law.

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